AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII

ANNUAL EXAMINATIONS 2022

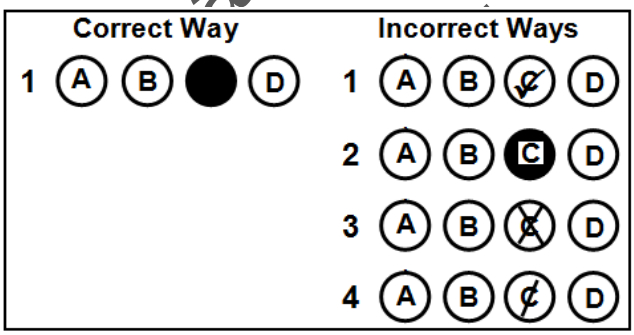
Principles of Accounting

Time: 2 hours 10 minutes Marks: 65

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 65 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 65 MCQs will be equated to the total marks of 100 for the theory examination results.
8. You may use a scientific calculator if you wish.
9. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. A credit customer of Alma Traders returned goods worth Rs 24,000. Alma Traders does not maintain proper books of accounts.

   Based on the given situation, the returned goods will be shown under Alma Traders'

   A. cash account.
   B. discount account.
   C. trade payable (account payable) account.
   D. trade receivable (account receivable) account.

2. Ejaz is an owner of a bakery; he does not maintain proper books of accounts. The following details have been provided by him.

Head of Account	January 01, 2017	December 31, 2017
Assets	Rs 480,000	Increased by Rs 38,000
Liabilities	Rs 235,000	Decreased by Rs 23,000

   The amount of capital of Ejaz as on December 31, 2017 will be

   A. Rs 184,000
   B. Rs 230,000
   C. Rs 260,000
   D. Rs 306,000

3. In single entry accounting, the account that is required to calculate credit sales is

   A. trade receivables (accounts receivable) account.
   B. trade payables (accounts payable) account.
   C. income and expenditure account.
   D. receipts and payments account.

4. In case of single entry accounting, instead of preparing the statement of financial position business prepares

   A. income statement.
   B. statement of affairs.
   C. accumulated fund account.
   D. receipt and payment account.

5. Ameen Traders maintains its records on the basis of single entry accounting. The business is suffering from a net loss of Rs 15,000. The opening capital of the business was Rs 200,000, whereas the ending capital is Rs 250,000.

   The POSSIBLE reason for the increase in the ending capital would be a/ an

   A. increase in drawings.
   B. decrease in drawings.
   C. increase in additional investment.
   D. decrease in additional investment.

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6. Following are the details of a single entry record keeping business:

Account Title	Amount (Rs)
Capital at start	760,000
Capital at end	370,000
Additional investment during the year	120,000
Drawings for the year accumulated to	200,000

What would be the amount of profit/ loss for the business at the end of the year?

A. Rs 310,000 loss
B. Rs 470,000 loss
C. Rs 310,000 profit
D. Rs 470,000 profit

7. In general, the difference between selling price and cost price is

A. net profit.
B. gross profit.
C. margin percentage.
D. mark up percentage.

8. $\frac{\text{(Sales revenue – cost of sales)}}{\text{Sales revenue}} \times 100$

The given formula is used to calculate

A. net profit margin.
B. net profit mark up.
C. gross profit margin.
D. gross profit mark up.

9. Following information has been taken from the books of a business that maintains the gross profit margin of 25%:

Account Title	Amount (Rs)
Purchases	378,000
Purchase return	18,000
Carriage in	4,000
Opening inventory	134,000
Closing inventory	138,000

If the gross profit of the company is Rs 120,000, then the sales revenue would be

A. Rs 240,000
B. Rs 248,000
C. Rs 480,000
D. Rs 488,000

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10. The gross profit of Aleema Traders amounted to Rs 100,000.

If the gross profit mark-up of the business is 40%, then the amount of cost of sales and sales revenue of Aleema Traders would be

	Cost of Sales	Sales Revenue
A	Rs 250,000	Rs 350,000
B	Rs 350,000	Rs 250,000
C	Rs 250,000	Rs 150,000
D	Rs 150,000	Rs 250,000

Use the given information to answer Q.11 and Q.12.

The following information has been taken from the records of Jameel Stationery, a small business that does not maintain proper books of accounts.

Account Title	Amount (Rs) January 01, 2018	Amount (Rs) December 31, 2018
Trade receivables (accounts receivable)	18,000	24,500
Trade payables (accounts payable)	7,000	9,300

Following summaries were also extracted at the end of the year 2018.

Account Title	Amount (Rs)
Cash collected from customers	48,000
Cash paid to suppliers	27,000
Discount allowed	3,000
Discount received	1,800
Bad debts written off	1,500

11. The amount of credit sales from the given information is

A. Rs 38,000
B. Rs 46,000
C. Rs 59,000
D. Rs 77,000

12. The amount of credit purchases from the given information is

A. Rs 26,500
B. Rs 31,100
C. Rs 38,100
D. Rs 52,100

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13. Anusha and Aamna are the owners of a restaurant business. They have unlimited liability and are allowed to sell their shares to anyone.

The business in which Anusha and Aamna are involved is

A. sole trader.
B. partnership.
C. private company.
D. public company.

14. The details related to two businesses are as under:

Account Title	Kaleem Traders	Khalid Associates
Current assets	Rs 40,000	Rs 55,000
Non-current assets	Rs 320,000	Rs 280,000
Current liabilities	Rs 22,000	Rs 15,000
Long term liabilities	Rs 130,000	Rs 105,000

Based on the given information, the net worth of Kaleem Traders and Khalid Associates would be

	Kaleem Traders	Khalid Associates
A	Rs 152,000	Rs 120,000
B	Rs 208,000	Rs 215,000
C	Rs 152,000	Rs 215,000
D	Rs 208,000	Rs 120,000

15. At the time of formation of partnership, the accountant writes a brief detail related to an investment made by each partner below each general journal entry.

The brief detail referred in the given statement is commonly known as

A. vouching.
B. narration.
C. ledger posting.
D. summary of accounts.

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16. Sonia and Sobia have agreed to merge their individual businesses and become equal partners. At the time of merger, the goodwill of each partner was valued as under:

- Goodwill of Sonia Rs 30,000
- Goodwill of Sobia Rs 10,000

In the books of the new firm, the goodwill will be recorded as

	Account(s) to be Debited (Dr)	Account(s) to be Credited (Cr)
A	Goodwill Rs 40,000	Capital - Sonia Rs 20,000 Capital - Sobia Rs 20,000
B	Capital - Sonia Rs 20,000 Capital - Sobia Rs 20,000	Goodwill Rs 40,000
C	Goodwill Rs 40,000	Capital - Sonia Rs 30,000 Capital - Sobia Rs 10,000
D	Capital - Sonia Rs 30,000 Capital - Sobia Rs 10,000	Goodwill Rs 40,000

17. In partnership accounting, at the time of recording interest on drawings the amount would be debited to the

A. interest account.
B. revaluation account.
C. partners' capital account.
D. profit and loss appropriation account.

18. Anzul, Hafsa and Amsa are partners in a firm. Anzul withdrew Rs 25,000 from the business.

The entry to close the drawings account will be

	Account to be Debited	Account to be Credited
A	Anzul's drawings	Cash
B	Cash	Anzul's drawings
C	Anzul's drawings	Anzul's capital
D	Anzul's capital	Anzul's drawings

19. In partnership accounts, average capital of a partner can be calculated by

A. (opening capital + ending capital) ÷ 2
B. (opening capital − ending capital) ÷ 2
C. (opening capital + ending capital) × 2
D. (opening capital − ending capital) × 2

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20. Anees and Hashim are partners in a firm. The details of the capital balances of both the partners are given as:

Partner	As on January 01, 2020	As on December 31, 2020
Capital - Anees	Rs 200,000	Rs 300,000
Capital - Hashim	Rs 300,000	Rs 400,000

The net profit earned by the business amounted to Rs 100,000.

(**Note**: The ending capital is unadjusted capital.)

If the profit and loss is distributed between the partners on the basis of opening capital, then the adjusted capital of each partner as on December 31, 2020, would be

	Anees	Hashim
A	240,000	360,000
B	300,000	400,000
C	340,000	460,000
D	500,000	700,000

21. Farha and Fizza are partners in a firm. They share profit and loss equally and follow fluctuating capital method.

If Farha gives a loan of Rs 120,000 to the firm, then the interest on the loan will be recorded by firm as

A. debit to Farha's capital account.
B. debit to Farha's current account.
C. credit to Farha's capital account.
D. credit to Farha's current account.

22. Aleen and Tabeen are partners in a firm with capital investments of Rs 200,000 and Rs 300,000, respectively.

Both the partners agreed to the following entitlements:

	Aleen	Tabeen
Annual salary	Rs 60,000	Rs 90,000
Interest on capital	6%	4%
Profit/ loss sharing ratio	60%	40%

The undistributed profit for the year amounted to Rs 300,000.

The amount that will be credited to Tabeen account would be

A. Rs 50,400
B. Rs 62,400
C. Rs 152,400
D. Rs 452,400

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23. As per the Partnership Act, profit and loss must be shared among partners in the ratio mentioned in the partnership deed (agreement).

In the absence of partnership deed (agreement), the amount of profit and loss will be distributed among the partners

A. on equal basis.
B. with respect to their respective capital.
C. on capital after adding interest on drawings.
D. on capital after deducting interest on capital.

24. In case of fluctuating capital method, the amount of loss to be shared by the partners will be

A. debited to their capital accounts.
B. debited to their current accounts.
C. credited to their capital accounts.
D. credited to their current accounts.

25. Shams and Dilawar are partners in a firm. During the year, Shams invested additional cash of Rs 80,000.

The CORRECT general entry to record the given transaction under fixed capital method would be

	Particulars	P.R.	Debit	Credit
A	Cash		80,000	
	Capital account - Shams			80,000
B	Cash		80,000	
	Current account - Shams			80,000
C	Capital account - Shams		80,000	
	Cash			80,000
D	Current account - Shams		80,000	
	Cash			80,000

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26. Shakoor, Iqbal and Aslam are partners in a firm. The profit and loss sharing ratio was agreed on the basis of capital invested by each partner.

If the ratio of capital was 3:2:5 respectively, and the amount of capital of Iqbal was Rs 62,000, then the capital of Shakoor and Aslam would be

	Capital - Shakoor	Capital - Aslam
A	Rs 93,000	Rs 155,000
B	Rs 155,000	Rs 93,000
C	Rs 248,000	Rs 310,000
D	Rs 310,000	Rs 248,000

27. At the time of retirement of a partner, the building was revalued at Rs 40,000 less than the book value. This will be recorded in the books as

	Debit	Credit
A	revaluation account	building account
B	building account	revaluation account
C	revaluation account	depreciation account
D	depreciation account	revaluation account

28. Farah, Sarah and Ifrah are partners in a partnership firm with a capital of Rs 200,000, Rs 240,000 and Rs 320,000, respectively. Sarah retires from the firm on June 30, 2019 and is paid Rs 270,000 in total, under goodwill method. They share profit and loss on the basis of capital.

The total amount of goodwill that will be shown in the statement of financial position of the firm after the retirement of Sarah would be

A. Rs 55,000
B. Rs 65,000
C. Rs 70,000
D. Rs 95,000

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29. Imran and Nida are partners in a firm with a capital of Rs 300,000 and Rs 600,000, respectively. They agreed to admit Sameer as a new partner in the firm. Before the admission, the following revaluation account has been prepared by the firm.

Revaluation Account					
31.12.2019	Building	185,000	30.06.2019	Investment	50,000
			31.12.2019	Furniture	30,000

If Imran and Nida are equal partners, then the CORRECT entry for the distribution of gain or loss on the revaluation will be

	Debit	Credit
A	Loss on revaluation Rs 105,000	Capital Account of Imran Rs 52,500 Capital Account of Nida Rs 52,500
B	Capital Account of Imran Rs 52,500 Capital Account of Nida Rs 52,500	Loss on revaluation Rs 105,000
C	Gain on revaluation Rs 105,000	Capital Account of Imran Rs 52,500 Capital Account of Nida Rs 52,500
D	Capital Account of Imran Rs 52,500 Capital Account of Nida Rs 52,500	Gain on revaluation Rs 105,000

30. Lamba and Samba are partners in a firm. They decided to revalue their accounts before admitting Tamba. At the time of revaluation, the firm debited revaluation account by Rs 120,000 whereas it was credited by Rs 80,000.

If Lamba and Samba share profit/ loss in the ratio 2/5 and 3/5 respectively, then the CORRECT option that represents the condition and share of profit/ loss is

	Condition	Share	
		Lamba	Samba
A	Profit	Rs 16,000	Rs 24,000
B	Profit	Rs 24,000	Rs 16,000
C	Loss	Rs 16,000	Rs 24,000
D	Loss	Rs 24,000	Rs 16,000

31. Goodwill is a benefit that is recorded in the statement of financial position under

A. liquid asset.
B. current asset.
C. tangible asset.
D. intangible asset.

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32. Zia and Rania are equal partners in a firm with a capital of Rs 400,000 and Rs 300,000, respectively; they agreed to admit Awan as a new partner for 1/3rd share in the firm. Awan invested sufficient cash for his share.

The total amount of capital of the firm after Awan's admission would be

A. Rs 350,000
B. Rs 466,667
C. Rs 700,000
D. Rs 1,050,000

33. The total capital of Alpine Traders is Rs 400,000. Baseen and Sami are equal partners in Alpine Traders. On June 30, 2020, they decided to admit Kami as their new partner.

If Kami has been admitted as an equal partner, then the capital ratio of the partners in the firm would be

	Baseen	Sami	Kami
A	1/2	1/2	1/2
B	1/3	1/3	1/3
C	1/2	1/2	1/3
D	1/3	1/3	1/2

34. The capital balance of Majid and Amjad on June 30, 2020 amounted to Rs 400,000 and Rs 600,000 and profit sharing ratio was agreed to be 60% and 40% respectively. On this date, they decided to admit Asad as a new partner. Asad invested Rs 300,000 for 1/5 interest in the firm.

If the capital of Asad would be credited with the entire amount of his investment, then the goodwill would be distributed as

	Majid	Amjad	Asad
A	Rs 120,000	Rs 80,000	Nil
B	Rs 80,000	Rs 120,000	Nil
C	Rs 96,000	Rs 64,000	Rs 40,000
D	Rs 64,000	Rs 96,000	Rs 40,000

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35. Shams and Qamar are partners in a firm having a capital of Rs 300,000 and Rs 450,000. Tara bought 2/5 shares of Shams by paying Rs 150,000 to him directly. Tara also bought 1/9 share from Qamar by directly paying him Rs 70,000.

The general entry that will be made in the books of firm would be

	Particulars	P.R.	Debit	Credit
A	Capital - Shams		120,000	
	Capital - Qamar		50,000	
	Capital - Tara			170,000
B	Capital - Shams		150,000	
	Capital - Qamar		70,000	
	Capital - Tara			220,000
C	Capital - Tara		170,000	
	Capital - Shams			120,000
	Capital - Qamar			50,000
D	Capital - Tara		220,000	
	Capital - Shams			150,000
	Capital - Qamar			70,000

36. Hiba and Irfan are equal partners in a firm. They agreed to admit Altamash as their new partner with 1/2 interest into the firm. The capital of Hiba and Irfan was Rs 250,000 and Rs 150,000, respectively. At the time of admission, the goodwill of the firm was valued at Rs 20,000.

The goodwill will be shared among the partners as

	Hiba	Irfan	Altamash
A	Rs 12,500	Rs 7,500	Nil
B	Rs 10,000	Rs 10,000	Nil
C	Rs 6,666	Rs 6,666	Rs 6,666
D	Rs 5,000	Rs 5,000	Rs 10,000

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37. At the time of retirement of a partner, the increase in the value of an asset will be recorded as

	Debit	Credit
A	asset account	revaluation account
B	revaluation account	asset account
C	goodwill account	asset account
D	asset account	goodwill account

38. Imran, Yousuf and Qadir are partners in a firm having a capital ratio of 5:4:3, respectively. Imran decided to retire by selling 2/3 of his interest to Yousuf for Rs 400,000 and the remaining to Qadir for Rs 550,000.

The total capital of the firm before the retirement of Imran was Rs 1,800,000.

After the retirement of Imran, the capital of each partner in the firm would be

	Yousuf	Qadir
A	Rs 600,000	Rs 450,000
B	Rs 1,000,000	Rs 1,000,000
C	Rs 1,100,000	Rs 700,000
D	Rs 1,200,000	Rs 600,000

39. Waseem, Waqar and Aqib are equal partners in a firm having a capital of Rs 400,000, Rs 300,000 and Rs 200,000 respectively. On June 30, 2020 Aqib retires from the firm. He transferred half of his interest to Waqar and half to his son Shoaib.

What would be the capital of each partner after the retirement of Aqib?

	Waseem	Waqar	Shoaib
A	Rs 400,000	Rs 300,000	Rs 200,000
B	Rs 400,000	Rs 400,000	Rs 100,000
C	Rs 400,000	Rs 400,000	Rs 200,000
D	Rs 300,000	Rs 300,000	Rs 300,000

40. Taste Public Limited issued 50,000 shares of Rs 10 each at Rs 12 each. These shares guarantee 5% annual dividend to the shareholders.

Based on the given scenario, the shares issued by the company will be termed as

A. paid up shares.
B. ordinary shares.
C. authorized shares.
D. preference shares.

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41. Jamal Limited purchased a building by using 15,000 ordinary share of Rs 10 each. At the time of purchase, the market value of the share was Rs 13.

The value of the building will be

A. Rs 15,000
B. Rs 45,000
C. Rs 150,000
D. Rs 195,000

42. Tasneem Limited offered 100,000 ordinary shares of Rs 10 @ Rs 11. The bank informed the company that applications for 107,000 shares have been received. The company allotted the offered shares.

The final allotment of shares will be recorded in the books of Tasneem Limited as

	Particulars	P.R.	Debit	Credit
A	Share applications		1,100,000	
	Share capital			1,000,000
	Share premium			100,000
B	Share applications		1,177,000	
	Share capital			1,070,000
	Share premium			107,000
C	Share applications		1,000,000	
	Share capital			1,000,000
D	Share applications		1,070,000	
	Share capital			1,070,000

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43. A limited company registered with a capital of Rs 2,000,000 which is divided into ordinary shares of Rs 10 each offered 80,000 shares payable in full on application at Rs 11 each.

The bank informed that applications of 82,000 shares were received. The company allotted the offered shares and refunded the amount in excess.

The general entry that will be made to record the refund of excess shares will be

	Particulars	P.R.	Debit	Credit
A	Bank		20,000	
	Share applications			20,000
B	Bank		22,000	
	Share applications			22,000
C	Share applications		20,000	
	Bank			20,000
D	Share applications		22,000	
	Bank			22,000

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44. A company purchased a machine for Rs 800,000. The company paid Rs 50,000 and issued ordinary shares of Rs 10 each at a premium of Rs 15 each.

The general entry that will be made to record the acquisition of asset would be

	Particulars	P.R.	Debit	Credit
A	Machine		800,000	
	Cash			50,000
	Ordinary share capital			300,000
	Share premium			450,000
B	Machine		800,000	
	Cash			50,000
	Ordinary share capital			750,000
C	Machine		800,000	
	Cash			50,000
	Ordinary share capital			450,000
	Share premium			300,000
D	Machine		800,000	
	Cash			50,000
	Share premium			750,000

45. A company issued 20,000 shares at Rs 15. The nominal value of a share is Rs 10.

Based on the given situation, the shares are issued at

A. loss.
B. discount.
C. premium.
D. par value.

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46. Alifya Limited issued 500 debentures of Rs 100 at Rs 100 each. These debentures are redeemable at 105 after 3 years.

At the time of issuance, the given transaction will be recorded in the books of Alifya Limited as

	Particulars	P.R.	Debit	Credit
A	Bank		50,000	
	Debenture payable			50,000
B	Bank		52,500	
	Debenture payable			50,000
	Premium on redemption			2,500
C	Bank		50,000	
	Loss on issue of debenture		2,500	
	Debenture payable			50,000
	Premium on redemption			2,500
D	Bank		47,500	
	Discount on issue of debenture		2,500	
	Loss on issue of debenture		2,500	
	Debenture payable			50,000
	Premium on redemption			2,500

47. The cost of borrowing decreases the amount of net profit.

The given cost is commonly known as

A. finance cost.
B. operating cost.
C. transportation cost.
D. administrative cost.

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48. The details related to the income statement of a business are given as:

Account Title	Amount (Rs)
Sales revenue	1,200,000
Cost of sales	48% of the revenue
Operating expenses	30% of the gross profit

The amount of net profit for the business is

A. Rs 187,200
B. Rs 403,200
C. Rs 436,800
D. Rs 624,000

49. Alfaan Limited created a reserve of Rs 150,000 for the payment of dividend.

In the books of the company, the mentioned reserve will be classified as a

A. specific reserve.
B. general reserve.
C. capital reserve.
D. secret reserve.

50. The portion of a company's profit that is held from the net income at the end of a reporting period and saved for future use is known as

A. dividend.
B. debentures.
C. share capital.
D. retained earnings.

51. The unclaimed cash dividend is treated by a company as a/ an

A. asset.
B. equity.
C. liability.
D. expense.

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52. A company created a general reserve of Rs 800,000.

The general entry that will be made for the given event would be

	Particulars	P.R.	Debit	Credit
A	Cash		800,000	
	General reserve			800,000
B	General reserve		800,000	
	Cash			800,000
C	Retained earnings		800,000	
	General reserve			800,000
D	General reserve		800,000	
	Retained earnings			800,000

53. The following capital balances appeared in the statement of financial position of Nabeel Private Limited as on December 31, 2020:

Account Title	Authorized Share Capital (Rs)	Issued Share Capital (Rs)
5% Preference shares of Rs 50 each	2,000,000	1,600,000
100,000 Ordinary shares of Rs 10 each	1,000,000	800,000

Retained profit as on January 01, 2020 amounted to Rs 235,000. The profit earned by the company for the year ended December 31, 2020 is Rs 200,000.

On Decemebr 31, 2020, the directors of the company finalised to

- pay the preference share dividend.
- pay final dividend of Rs 0.2 per ordinary share.

The amount of retained profit as on December 31, 2020 would be

A. Rs 211,000
B. Rs 315,000
C. Rs 339,000
D. Rs 435,000

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54. The retained earnings account of a company showed an opening credit balance of Rs 78,000.

If there are no other changes in the retained earnings other than the net profit of Rs 24,000, then the ending balance of the retained earnings account would be

A. Rs 54,000 debit.
B. Rs 54,000 credit.
C. Rs 102,000 debit.
D. Rs 102,000 credit.

55. The following information has been taken from the records of XYZ limited:

Account Title	Amount (Rs)
Retained earnings as on January 01, 2020	700,000
Net profit for the year 2020	210,000
Dividend declared	32,000
Creation of reserves for extension of building	100,000

The ending balance of retained earnings as on December 31, 2020 would be

A. Rs 778,000
B. Rs 810,000
C. Rs 978,000
D. Rs 1,042,000

56. With reference to the statement of financial position of a company, all of the following are shown under shareholder's equity EXCEPT

A. retained earnings.
B. debenture account.
C. ordinary share capital.
D. premium of share issue.

57. The FIRST item written under assets in permanency preference method of statement of financial position would be

A. cash.
B. machine.
C. inventory.
D. trade receivables.

58. The accountant of Alpha Limited mistakenly treated a capital expenditure as a revenue expenditure.

In the financial statements, the given error will cause the

A. net profit and assets to be overstated.
B. net profit and assets to be understated.
C. net profit to be overstated and assets to be understated.
D. net profit to be understated and assets to be overstated.

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59. LapTop Limited sold an old asset for Rs 45,000 at a gain of Rs 3,000.

The given disposal will be shown in cash flow statement of LapTop as

	Investing Activities	Operating Activities
A	Sale proceeds Rs 45,000 Gain of Rs 3,000	Nil
B	Nil	Sale proceeds Rs 45,000 Gain of Rs 3,000
C	Gain of Rs 3,000	Sale proceeds Rs 45,000
D	Sale proceeds Rs 45,000	Gain of Rs 3,000

60. As per the IAS 7, the CORRECT sequence of preparing a cash flow statement is

	First	Second	Third
A	operating activities	financing activities	investing activities
B	investing activities	operating activities	financing activities
C	financing activities	investing activities	operating activities
D	operating activities	investing activities	financing activities

61. The following information has been taken from the books of Alies Limited

Net cash outflow from operating activities	Rs 250,000
Net cash inflow from investing activities	Rs 210,000
Net cash inflow from financing activities	Rs 120,000
Cash and cash equivalent ending	Rs 140,000

The net amount of "cash and cash equivalent" at the beginning of the year would be

A. Rs 60,000
B. Rs 80,000
C. Rs 140,000
D. Rs 220,000

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Use the given information to answer Q.62 and Q.63.

The following details are related to the accounting records of Taha Limited as on June 30, 2021:

Account Title	July 01, 2020	June 30, 2021
Trade receivables	Rs 54,000	Rs 75,000
Inventory	Rs 32,000	Rs 28,000
Trade payables	Rs 22,000	Rs 38,000

Data for adjustment on June 30, 2021:

- Net profit before interest and tax for year amounted to Rs 200,000
- Depreciation expense for the year amounted to Rs 20,000
- Income tax for the year was Rs 5,000

62. The net amount of change in working capital that will be reflected in the cash flow statement of Taha Limited will be

    A. (Rs 1,000)
    B. Rs 1,000
    C. (Rs 9,000)
    D. Rs 9,000

63. The amount of cash flows from operating activities of the company will amount to

    A. Rs 214,000
    B. Rs 216,000
    C. Rs 224,000
    D. Rs 226,000

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Use the given information to answer Q.64 and Q.65.

The following details have been taken from the records of Bird View Private Limited for the year ended December 31, 2020:

Account Title	Amount (Rs)
Net profit before interest and tax	248,000
Depreciation for the year	12,000
Net increase in current assets except cash	200,000
Net increase in current liabilities	148,000
Purchase of machinery	180,000
Sale proceed of machinery sold	60,000
Dividend paid	20,000

64. The net amount of cash flow from operating activities is

A. Rs 196,000
B. Rs 208,000
C. Rs 300,000
D. Rs 312,000

65. The net amount of cash flow from investing activities is

A. Rs (240,000)
B. Rs (120,000)
C. Rs 120,000
D. Rs 240,000

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